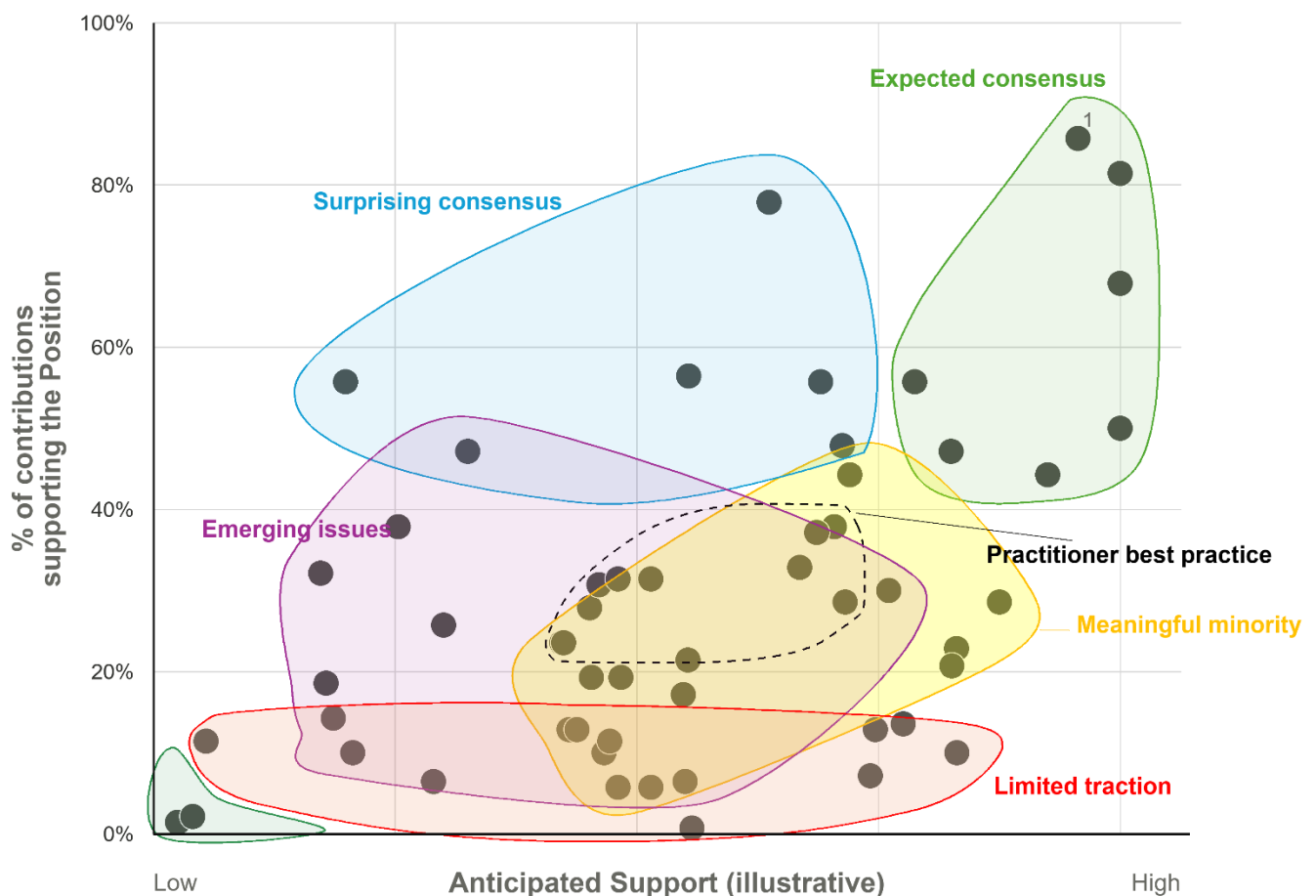


The OECD Consultation on Chapter VII

Framing the Debate

The OECD received 140 submissions on the proposed revision of Chapter VII of the Transfer Pricing Guidelines. Published on 24 August, they total 1,564 pages. This note maps where support meets expectations - and where it does not. Figure 1 compares (i) explicit support for selected positions with (ii) our assessment of anticipated support (see Methodological Note). The six interpretative groups distinguish familiar demands, unexpected areas of agreement and less prominent issues that may shape the debate.¹

Figure 1: Selected positions grouped by support and anticipated support



Reading note: each point represents a technical position. Its height shows the share of all 140 submissions explicitly supporting it; its horizontal location reflects our assessment of anticipated support. The position marked “1”, for example, attracted very broad support, in line with our expectations, and appears near the top right. The coloured boundaries identify interpretative groups, not statistical thresholds.

¹ For a brief analysis of the contributors, see our note dated 25 August [\[Link\]](#)

Methodological Note

The source matrix covers 91 positions across 140 submissions, giving 12,740 coding entries. Each entry records support, opposition or no explicit position identified. Support shares use all 140 submissions as the denominator. The chart displays 54 selected positions; the tables illustrate each group without reproducing the full mapping.²

The approach draws on the “text as data” tradition discussed, for instance, by Grimmer and Stewart (2013), and used in political research to analyse party manifestos and parliamentary speeches. Mentioning a policy does not establish support for it; discussing the benefit test likewise does not establish endorsement of a particular requirement. Structured content analysis addresses that distinction by coding positions in context. Large language models make this work more practical at scale; their usefulness still depends on clear coding rules and validation against the source material.³

Silence may reflect agreement, disagreement, a submission's limited scope or competing priorities. It is therefore treated as neither support nor opposition. The figures measure explicit support within this corpus, rather than the balance of opinion among all practitioners.

The analysis is directional. We selected and formulated the positions; different choices or wording could produce a different picture. The initial set of 90 was expanded to include individual employees and virtual teams after a further review of the corpus. Participation is self-selected, submissions may reflect coordinated views, and coding involves judgement and possible classification error. Anticipated support is our analytical assessment, not an estimated probability; the clusters are interpretative groupings, not statistical results. AI assistance does not remove these limitations. Nor do submission counts measure contributors' influence over the OECD's eventual decisions.

Analysis continues on the following page

²Figure 1 excludes 15 positions on operational transfer pricing (OTP) and 10 on stock-based compensation (SBC), which were coded differently, as well as 12 other positions not selected for this overview. It therefore displays 54 of the 91 positions in the source matrix. OTP and SBC will be addressed in forthcoming Athena Economics notes.

³ Grimmer, J. and Stewart, B. M. (2013), “Text as Data: The Promise and Pitfalls of Automatic Content Analysis Methods for Political Texts”, *Political Analysis*, 21(3), pp. 267–297.

1. “Expected consensus”: *The usual suspects*

The requests are well established, but the problems remain. Table 1 presents eight of its nine positions, comparing explicit support with our assessment of anticipated support.

Table 1: Expected consensus - Selected positions (8 of 9)

#	Theme / Category ⁴	Position ⁴	Supports ⁵	Anticipated support ⁶
1	General	<i>Important clarifications are required for several concepts.</i>	85,7%	Very broad (3,8)
2	General	<i>More examples would be appropriate.</i>	81,4%	Very broad (4)
3	General	<i>As a rule, documentation requirements should be proportionate to materiality and risk.</i>	67,9%	Very broad (4)
4	General	<i>The draft creates a disproportionate evidentiary burden.</i>	55,7%	Broad (3,1)
5	TP methods & concepts	<i>Pricing should reflect the facts and circumstances.</i>	50,0%	Very broad (4)
6	General	<i>The draft does not sufficiently limit discretionary or divergent action by tax administrations.</i>	47,1%	Very broad (3,3)
7	Mark-up & LVAS	<i>No mark-up should be applied to services.</i>	2,1% ⁷	Very limited (0,2)
8	General	<i>The current transactional, arm's-length framework is fundamentally inappropriate.</i>	1,4% ⁸	Very limited (0,1)

■ The existing framework remains largely unchallenged

The submissions offer little explicit support for rejecting the framework or dispensing with service margins altogether (items 8 and 7). The demand is principally to make the framework work better, rather than to shift away from its core principles.

■ The Guidance: Clearer, not just more of it

The calls for clarification and examples are a request for guidance that resolves difficult cases (items 1 and 2). Useful examples identify the facts that change the answer. Otherwise, the revision risks adding pages while leaving taxpayers and administrations free to reach divergent conclusions.

■ Proportionality and practical limits on documentation and the burden of proof

A recurring question in transfer pricing is when a taxpayer has provided enough evidence. Proportionality requires a defensible stopping point (items 3, 4 and 6). Without one, even a well-documented charge remains exposed to another request for substantiation.

⁴ Source : Athena Economics

⁵ Source: public submissions, coded and analysed by Athena Economics. Support percentages use all 140 submissions as the denominator. Opposition is omitted from the tables; its significance is considered where relevant. Silence is neither support nor opposition.

⁶ Source : Athena Economics, professional judgement (illustrative)

⁷ Explicit opposition: 4 of 140 submissions (2.9%). The remaining submissions express either support or no explicit position; silence is not counted as opposition.

⁸ Explicit opposition: 29 of 140 submissions (20.7%). The remaining submissions express either support or no explicit position; silence is not counted as opposition.

2. “Surprising consensus”: *So, we agree after all?*

This category brings together positions attracting more explicit support than we anticipated. The three examples below concern two themes: allocation keys and the benefit test.

Table 2: Surprising consensus - Selected positions (3 of 5)

#	Theme / Category	Position	Supports	Anticipated support
1	Allocation key	<i>Allocation keys should remain flexible, facts-based and reasonably connected to expected benefit.</i>	77,9%	<i>Broad (2,5)</i>
2	Benefit test	<i>The benefit test should primarily rely on an ex ante assessment.</i>	55,7%	<i>Very limited (0,8)</i>
3	Allocation key	<i>The Guidelines should not prescribe mandatory allocation keys for specified service categories.</i>	55,7%	<i>Broad (2,8)</i>

Allocation keys: robustness without a prescribed answer

We might have expected stronger calls for prescriptive guidance. Instead, support for flexibility, alongside resistance to mandatory allocation keys, points towards certainty through shared reasoning rather than a prescribed answer (items 1 and 3). Guidance can explain how to select and justify a key without imposing the same proxy on economically different services. That is a more demanding form of consistency than simply using the same formula.

The benefit test: reasonable expectations, not guaranteed results

The ex ante approach recognises that commercial decisions are made under uncertainty (item 2). A service need not deliver its anticipated result to have been worth procuring. Later evidence can test whether the original expectation was credible; it should not replace that assessment with hindsight. The principle concerns the economics of benefit, not merely an evidentiary concession.

3. “Practitioners’ best practice”: **Common sense, with an audit trail**

These positions show how practitioners make judgement defensible. The examples below concern allocation keys and representative sampling.

Table 3: Practitioners’ best practice - Selected positions (3 of 6)

#	Theme / Category	Position	Supports	Anticipated support
1	Allocation key	<i>The adopted allocation keys should be documented.</i>	32,9%	<i>Broad (2,7)</i>
2	Allocation key	<i>Turnover should not be used uncritically as a universal allocation key.</i>	28,6%	<i>Broad (2,9)</i>
3	Documentation	<i>Representative sampling should be accepted as evidence.</i>	23,6%	<i>Limited (1,7)</i>

- Allocation keys: think beyond the default, document the choice

Turnover can be practical without being appropriate for every service (items 1 and 2). Choosing another key requires an explanation of why it better reflects expected benefit and whether reliable data support it. A calculation can be arithmetically correct while leaving its economic justification unanswered; documentation must address both.

- Sampling: towards explicit recognition?

Representative sampling would give proportionality an operational form (item 3). The aim is evidence capable of supporting a conclusion about recurring services, without requiring a separate exhibit for every instance. Its credibility rests on the population covered, the selection made and the treatment of exceptions - not simply on collecting fewer documents.

4. “Emerging issues”: *The next big questions*

Note: these themes will receive fuller treatment in forthcoming Athena Economics notes.

This category includes positions that may be only partly new but that, in our assessment, could become central to the debate on intra-group services and to future discussions with tax authorities.

Table 4: Emerging issues - Selected positions (6 of 13)

#	Theme / Category	Position	Supports	Anticipated support
1	Shareholder activities	<i>ESG, cybersecurity, tax, compliance and other activities require additional classification guidance.</i>	47,1%	<i>Limited (1,3)</i>
2	Value Adding Services & PSM	<i>TNMM is not the only method for services.</i>	37,9%	<i>Limited (1)</i>
3	Value Adding Services & PSM	<i>The transactional profit split method may be appropriate for certain high-value intra-group services.</i>	32,1%	<i>Very limited (0,7)</i>
4	Artificial Intelligence	<i>AI as a service should be addressed more appropriately.</i>	31,4%	<i>Moderate (1,9)</i>
5	Value Adding Services & PSM	<i>High-value-adding services are insufficiently addressed.</i>	19,3%	<i>Moderate (1,9)</i>
6	Individual employees & virtual teams	<i>Further guidance is needed on identifying and/or pricing services provided by individual employees or virtual teams.</i>	6,4%	<i>Moderate (2,2)</i>

■ *The newcomers*

Business functions have evolved faster than the categories used to analyse them (item 1). ESG and cybersecurity bring new responsibilities into structures that combine shareholder oversight and operational support. We expect the resulting questions - who benefits, and what should be charged - to feature prominently in the November consultation and subsequent debates. Future Athena Economics notes will examine these boundaries in detail.

■ *High-value services: beyond cost plus five*

In our view, this is potentially one of the draft’s most consequential issues. What happens when a routine cost-plus return no longer captures the service economics (items 2, 3 and 5)? The submissions point to a gap in practical guidance for high-value services that deserves closer OECD attention. Going beyond cost plus five - and knowing when to do so - requires a clearer analysis of value creation and remuneration; it does not automatically mean choosing profit split.

■ *AI: how could it not be on the list?*

The draft already includes a machine-learning example, but AI’s expanding role in business warrants a fuller treatment (item 4). Is the recipient buying a service or obtaining rights in an intangible? How should automation be remunerated and shared costs allocated? Do these questions require specific rules, or better application of existing principles? The contributions open this discussion rather than settle it.

■ *Virtual teams: real pricing questions*

A single team can span several legal employers, while an individual may work almost entirely for an entity that does not employ them (item 6). The contributions ask how to identify and remunerate those arrangements. They explore different approaches, including salary-cost reimbursement, a personnel-service margin and external market references.

5. “Meaningful minority”: *Will they make it onto the agenda?*

This category brings together recurring positions with a recognisable constituency but without broad explicit support across the submissions. Table 5 presents three examples. Their persistence makes them worth watching, even though they attract less explicit support than some other positions, and in certain cases less than we anticipated.

Table 5: Meaningful minority - Selected positions (3 of 11)

#	Theme / Category	Position	Supports	Anticipated support
1	Benefit test	<i>The benefit test as set out in the draft is too burdensome.</i>	28,6%	<i>Very broad (3,5)</i>
2	Mark-up & LVAS	<i>The 5% LVAS mark-up should not be extrapolated to non-LVAS services.</i>	22,9%	<i>Very broad (3,3)</i>
3	Documentation	<i>A formal de minimis threshold should limit detailed benefit-test evidence for low-materiality service charges.</i>	19,3%	<i>Moderate (1,8)</i>

■ The benefit test: less criticism than expected?

Explicit criticism of the benefit test's burden is less widespread than we anticipated (item 1). That may partly reflect the coding: contributors can criticise evidentiary demands without tying them expressly to the benefit test. The gap is worth noting, but it may reveal how criticism is expressed and captured as much as how strongly practitioners feel about the test.

■ What happens in LVAS stays in LVAS

Resistance to extrapolating the 5% mark-up suggests a preference for economic justification over extending a convenient rule beyond its purpose (item 2). This is consistent with the flexibility seen elsewhere in the submissions. It supports keeping the simplification within its intended scope, without establishing what return any particular non-LVAS service should earn.

■ Documentation: put a threshold behind proportionality

A de minimis threshold - a cut-off below which detailed benefit-test evidence would be reduced - would give proportionality a practical consequence (item 3). The proposals raise three choices: the measure of materiality, such as recipient turnover or operating expenses; whether charges are assessed per service or aggregated for the entity; and the minimum evidence retained. Relief could simplify documentation without dispensing with a credible description of the service or its expected benefit.

6. “Limited traction”: *Not high on the list (yet?)*

These positions attract limited explicit support, sometimes below our expectations. That gives them less prominence in this consultation; it does not make them unimportant to affected taxpayers.

Table 6: Limited traction - Selected positions (4 of 10)

#	Theme / Category	Position	Supports	Anticipated support
1	Mark-up & LVAS	<i>More jurisdictions should adopt and consistently apply the existing LVAS simplified approach.</i>	12,9%	<i>Broad (3)</i>
2	Special cases	<i>The specific circumstances of emerging economies should be recognised and addressed.</i>	10,0%	<i>Moderate (1,9)</i>
3	Special cases	<i>The specific circumstances of the financial sector and other highly regulated industries should be recognised and addressed.</i>	7,1%	<i>Broad (3)</i>
4	Tax authorities	<i>Corresponding adjustments are not granted consistently when a service deduction is denied in another jurisdiction.</i>	5,7%	<i>Moderate (1,9)</i>

■ *LVAS adoption: a quieter demand than expected*

The muted call to expand LVAS adoption echoes the emphasis on economic justification discussed above (item 1). Fewer contributors explicitly seek wider use of this prescribed approach than we anticipated. That may reflect the focus of this consultation, however, and should not be read as rejection of the simplification itself.

■ *Country and industry specificities: outside the spotlight?*

We anticipated stronger calls to address emerging-market and regulated-industry specificities (items 2 and 3). Their aggregate support is modest, yet the rationales identify practical constraints: access to information, remittance restrictions and regulated operating models. Broad principles may therefore need different illustrations even where the underlying economic test is shared.

■ *Corresponding adjustments: a dispute needs an exit*

A deduction denied in one jurisdiction may leave the corresponding income taxed in another (item 4). The rationales point particularly to mismatches in legal characterisation, which can obstruct relief. This issue attracts few explicit mentions, but it tests whether the framework can resolve double taxation arising from divergent application of the rules.

Implications for the revision

Despite its limitations, this mapping provides a structured quantitative reading of the consultation and points to three priorities for the revision.

- **Certainty: the ultimate objective**

A central demand is greater certainty about how the framework will be applied. Clearer concepts and practical examples can reduce the scope for divergent interpretations. Their value lies in making outcomes more predictable for taxpayers and administrations, rather than simply adding detail to the Guidelines.

- **Economic reasoning over prescriptive guidance?**

More striking is the support for guidance that explains how to reason from the facts, while preserving room for judgement and analysis. Across the selected positions, this takes several forms:

- Allocation keys and charging systems that reflect the service and its expected benefit.
- Application of existing concepts to evolving business functions, including ESG and cybersecurity.
- Methods suited to the economics of high-value services, with profit split considered where appropriate rather than treated as the default.

The revision should clarify which facts change the answer while preserving the flexibility to distinguish economically different situations. More guidance will be useful only if it improves the consistency of those judgements.

- **Proportionality must also become operational.**

The contributions call for a defensible point at which the service, its expected benefit and its remuneration have been sufficiently substantiated. Without that stopping point, additional guidance may simply create additional demands for evidence.

Subsequent Athena Economics notes will explore selected topics, potentially including:

- Shareholder activities,
- Operational transfer pricing,
- Emerging economies and their challenges,
- High-value services and profit split⁹,
- Stock-based compensation.
- Individual specialists and virtual teams

⁹ Together with the benefit test

Athena Economics is an independent economic consulting firm specializing in transfer pricing and international tax matters. Based in Paris and serving clients across jurisdictions, we provide Multinational Enterprises and Law Firms with rigorous, best-in-class economic analyses — from policy design and modelling to litigation support and dialogue with tax authorities.

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